

figures showed a loss of \$72 million before tax credit and \$46.4 million after tax credit. The price of the shares fell to 16½ in 1969 and as low as 9 in 1970 (only 15% of its 1968 high of 60). Earnings for 1970 were reported as \$2.33 per share diluted, and the price recovered to 28½ in 1971. National Presto increased its per-share earnings somewhat in both 1969 and 1970, marking 10 years of uninterrupted growth of profits. Nonetheless its price declined to 21½ in the 1970 debacle. This was an interesting figure, since it was less than four times the last reported earnings, and less than the net current assets available for the stock at the time. Late in 1971 we find the price of National Presto 60% higher, at 34, but the ratios are still startling. The enlarged working capital is still about equal to the current price, which in turn is only 5½ times the last reported earnings. If the investor could now find ten such issues, for diversification, he could be confident of satisfactory results.*

Pair 8: Whiting Corp. (Materials-Handling equipment) and Willcox & Gibbs (Small Conglomerate)

This pair are close but not touching neighbors on the American Stock Exchange list. The comparison—set forth in Table 18-8A—makes one wonder if Wall Street is a rational institution. The company with smaller sales and earnings, and with half the tangible assets for the common, sold at about four times the aggregate value of the other. The higher-valued company was about to report a large loss after special charges; it had not paid a dividend in thirteen years. The other had a long record of satisfactory earnings, had paid continuous dividends since 1936, and was currently returning one of the highest dividend yields in the entire common-stock list. To indicate more vividly the disparity in the performance of the two companies we append, in Table 18-8B, the earnings and price record for 1961–1970.

Table 18-8A. Pair 8.